

DEEP TECH'S DEFINING MOMENT

With Semicon India 2.0 and fresh incentives for electronics, India is betting that its next start-up success stories will be built on chips, engineering, and intellectual property, and not just software

BY PALAK AGARWAL

THE UNIFIED PAYMENTS INTERFACE (UPI) did not create Razorpay, PhonePe or an entire generation of fintech start-ups overnight. Instead, it created something more valuable. It laid the digital infrastructure that reduced friction, widened access and gave hundreds of companies the foundation to build, innovate and scale up.

India's latest semiconductor and electronics push is attempting a similar leap. The ₹1.27 lakh crore Semicon India 2.0 programme and the ₹62,500 crore Mobile Phone Manufacturing Scheme (MPMS) are not just subsidies for factories. Together, they are an attempt to

build the industrial foundation on which India's next generation of deep-tech companies can build.

For years, Indian start-ups excelled in Software-as-a-Service as the ecosystem—talent, internet connectivity, cloud infrastructure and a growing digital market—existed. But deep tech is different. A start-up in deep technology needs design tools, manufacturing access, testing facilities, components, customers, patient capital and years of runway. Most of these pieces are expensive or outside India.

That is what makes the latest initiatives different. The aim is to connect the missing pieces of India's deep-tech ecosystem. While Semicon India 1.0—that had an out-

lay of ₹76,000 crore—focused on establishing manufacturing capacity and laying the foundation, Semicon India 2.0 broadens the focus to building the ecosystem around it. Chip design, fabs, packaging, components, advanced materials, manufacturing equipment, robotics, industrial automation, R&D and domestic demand are all being brought together to create a self-reinforcing industrial flywheel. The idea is that each would strengthen the other, creating the conditions for start-ups to build, scale and compete globally.

Ashok Chandak, President of the India Electronics and Semiconductor Association (IESA) and SEMI India, sees Semicon India 1.0 and

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